

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

CHINA UNITED LINES, LTD,

Complainant,

vs.

AMAZON.COM SERVICES, LLC; AMAZON
LOGISTICS INC., AND BEIJING CENTURY
JOYO COURIER SERVICE CO., LTD.

Respondents.

FMC Docket No. 25-04

**COMPLAINANT’S OPPOSITION TO RESPONDENTS’
MOTION FOR SUMMARY DISPOSITION**

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I. INTRODUCTION

Amazon, in dealing with CUL, engaged in fraud. Despite the fact that Amazon explicitly blessed the usage of its name by CUL in October 2022, and turned a blind eye to CUL's usage of the Amazon name throughout 2022, Amazon asserted in 2023 (because market conditions had shifted) that the very same conduct was grounds for termination for cause. Amazon induced CUL to perform under the service contract and used fraud to invent grounds for cause so that it could avoid its freight-related obligations and obtain ocean transportation at less than applicable rates.

The record reflects that Amazon's objective in terminating for cause was not to address any purported name-use violation but to avoid its deadfreight obligations. Indeed, Amazon internally discussed using the name-use issue as "leverage" against CUL and contemplated ways to induce CUL to blank sailings, thereby creating a basis to terminate for cause. The evidence further shows that Amazon would not have pursued termination for cause had CUL agreed to lower its rates. Section 41102(a) of the Shipping Act prohibits obtaining ocean transportation through an "unjust or unfair device or means," and the Commission has repeatedly held that deceptive conduct used to secure an undisclosed commercial advantage falls within the statute's reach. *See, e.g., OC Int'l Freight, Inc. et. al*, Dkt. No. 12-01, 2013 WL 9808674, at *5-6 (ALJ Oct. 30, 2013), *aff'd*, 2014 WL 5316336 (FMC July 31, 2014). Amazon's actions were used to secure an unlawful commercial advantage over its fellow shipper competitors by obtaining transportation on terms more favorable than those to which it had agreed, satisfying the requisite fraud element necessary to prove a violation of Section 41102(a).

The Shipping Act as a whole, and specifically the protections at Section 41102(a), exists to preserve competitive equality in the marketplace and prevent parties from obtaining transportation through undisclosed advantages unavailable to others. *Prince Line, Ltd. v. American Paper Exports, Inc.*, 55 F.2d 1053, 1055 (2d Cir. 1932) (holding that the violative conduct

“destroyed that equality of treatment between shippers, which it was the primary purpose of the section, and for that matter of the whole statute, to maintain”). Amazon’s conduct strikes at the core of those protections. While the service contract remained economically advantageous to Amazon, it approved and benefited from CUL’s use of the Amazon name. Once market conditions shifted and Amazon sought relief from its contractual obligations, it repackaged that same conduct as wrongful and a purported basis for termination. Permitting such conduct would allow shippers to evade negotiated transportation obligations through pretextual ploys whenever doing so becomes financially advantageous.

Amazon bears the burden on summary disposition of demonstrating the absence of any genuine dispute of material fact. It cannot meet that burden here. Numerous material disputes of fact require resolution at trial on October 21, 2026. Indeed, Amazon admitted to following CUL on social media from the start of the parties’ relationship (March 2022), but now *claims* that it did not know about CUL’s online postings (on that same account) until April 2023. Amazon approved CUL’s usage of the Amazon name in October 2022, but secretly expressed concern regarding the name usage and then employed the name usage as a purported means to terminate CUL for cause (when CUL’s rates and tender shortfall damages became unfavorable for Amazon). Rather than asking CUL to cease and desist usage of its name, Amazon discussed internally of using CUL’s use of its name as “leverage” and Amazon admitted that it would *not* have terminated CUL for cause had CUL lowered its rates. Amazon contemplated doing what it could so CUL would “blank sail” (so Amazon could manufacture cause). Amazon executives joked about “blowing up” the model ship that CUL made for them, because Amazon was doing precisely that with the CUL-Amazon contract. Even Amazon’s Notice of Termination for Convenience, effective April 1, 2023, was a ploy to buy itself time to shift cargo to other carriers and to formulate cause. After Amazon

claims it discovered that CUL used Amazon's name without permission, Amazon still asked CUL to commit to continuing to ship Amazon cargo up to the end of June 2023. CUL agreed to maintain its services for Amazon based upon Amazon's false representations that the service contract would terminate at the end of June 2023 and tender shortfall fees would be paid. It was Amazon's decision to post about CUL on social media on July 4, 2022 that induced CUL to make its own post about Amazon; CUL would never have done so, if not for Amazon's inducement.

Amazon's legal arguments in the Motion are off base. **First**, Section 41102(a) is not limited to instances of "false billing, false classification, false weighing, false report of weight, false measurement", as made clear by Congressional commentary on the passage of the applicable regulatory language, by FMC case law, and the clear language of the regulation. (Section III.B.1 below.) **Second**, FMC precedent is clear that simply because a case may have a breach-of-contract component does not bar a party from asserting its rights under the Shipping Act at the FMC. (Section III.B.2 below.) **Third**, the facts unearthed about Amazon's deceit during this case create material issues of disputed fact that are only suitable for resolution at trial in this matter. (Section III.D below.) **Fourth**, CUL explicitly pled a right to re-rating in Count I. (Section III.E.1 below.) **Fifth**, Amazon's cancellation of the Service Contract was clearly "unanticipated" because Amazon gave CUL assurance that its name usage was not an issue. (Section III.E.2 below.) **Sixth**, Amazon's expert did not run a re-rating calculation and his opinions have been routinely rejected by the FMC (most recently, in the series of detention and demurrage cases). (III.E.3 below.) **Seventh**, CUL did indeed plead actual damages in the alternative, which Amazon's own counsel has conceded are the liquidated damages provided for under the Service Contract between the parties. (Section III.F below.) **Eighth** and finally, the FMC has explicitly said that liquidated damages cannot be artificially separated from MQC rates to avoid Shipping Act liability. CUL

only entered the Service Contract, and offered discounted rates, with the promise that Amazon would pay *tender shortfall* damages when appropriate. (Section III.G below.)

Amazon has failed to carry its burden of demonstrating the absence of a genuine dispute of material fact, and Respondents' Motion for Summary Disposition should be denied. This matter should proceed to hearing in Washington, D.C. on October 21, 2026.

II. STATEMENT OF MATERIAL FACTS

A. In 2022, Amazon and CUL Contracted for a Two-Year Transpacific MQC

In July 2021, CUL launched a transpacific service from China to the US West Coast. RX 20, Declaration of Raymond Chen ¶ 12.¹ Upon meeting Amazon in March 2022, the first document Amazon asked CUL to sign was Amazon's **Nondisclosure Terms** document ("NDA"). RX 56, Declaration of Shunan Liu ¶ 15. CUL, without changes, executed the NDA on March 29, 2022. *Id.* ¶ 17; Non-Disclosure Agreement, Attach. B to Dkt. No. 13, Resp. Motion to Dismiss (Confidential) (March 26, 2025);² RX 21, Chen Decl. ¶ 17. The NDA says that CUL cannot disclose its relationship with Amazon, if that relationship is confidential. Attach. B to Dkt. No. 13 § 1.

Amazon's **Master Transportation Agreement** ("MTA") contains Amazon's carrier terms. RX 56, Liu Decl. ¶ 20. CUL signed the MTA on April 7, 2022. RX 57, Liu Decl. ¶ 24; Attach. A to Dkt. No. 13. Under the MTA, as modified by a Work Order, Amazon may terminate the parties' relationship for convenience at any time, but must pay tender shortfall liquidated damages for doing so. Attach. A to Dkt. No. 13 § 5. The MTA also provides that Amazon may,

¹ Because they arise from the same nucleus of facts, the evidence submitted in support of this Opposition are the declarations and exhibits submitted in the related New York case.

² Pursuant to Dkt. No. 5, Presiding Officer's Initial Order (Jan. 23, 2025), evidence relied upon that has previously been provided by either party is cited rather than included in the appendix as a differently numbered copy of the same evidence.

under limited circumstances, terminate the parties' relationship "for cause" and avoid its obligation to pay liquidated damages. *Id.* § 5.3.

On April 29, 2022, CUL and Amazon entered into a **Work Order**³ for a two-year period, beginning May 1, 2022 and ending April 30, 2024. RX 57, Liu Decl. ¶ 25; Attach. C to Dkt. No. 13. The "Minimum Quantity Commitment" ("MQC") made by Amazon was for carriage of "at least" 31,200 FEUs during each contract year on CUL vessels. RX 57, Liu Decl. ¶ 25; Attach. C to Dkt. No. 13 § 1.2.

Amazon agreed to pay CUL liquidated damages of \$2,000 per FEU if its cargo bookings dropped below 80 percent of the MQC per year (the "Tender Shortfall Liquidated Damages"), and \$1,000 per FEU for every container not carried under the Work Order in the event that Amazon elected early termination for convenience (the "Early Termination Tender Shortfall"). RX 58-59, Liu Decl. ¶ 30; RX 24, Chen Decl. ¶ 33; Attach. C to Dkt. No. 13, Sched. 3 § 5. The Tender Shortfall Liquidated Damages and the Early Termination Shortfall damages are sometimes collectively referred to herein as the "Early Termination Freight Payments".

B. Amazon Posts Online About CUL, And CUL Follows

On July 4, 2022, Amazon used its social media account (WeChat)⁴ to advertise and publicize its service offered through CUL. RX 26, Chen Decl. ¶ 40; RX 70-91. On or about July 4, 2022, CUL saw that Amazon had publicized the good work that CUL was doing for Amazon. RX 26, Chen Decl. ¶ 40; RX 70-91. Amazon later made additional similar posts identifying CUL as a vendor, including on August 9, 2022 and December 8, 2022. RX 27, Chen Decl. ¶ 43; RX 93-129.

³ The NDA, MTA, and Work Order are collectively referred to herein as the parties' "Service Contract."

⁴ WeChat is a very popular social media platform in China. RX 26, Chen Decl. ¶ 40.

In August 2022, CUL celebrated the anniversary of its transpacific service. RX 28, Chen Decl. ¶ 46. CUL did so on its WeChat account, LinkedIn, and website. *Id.* On all three forums CUL reposted the Amazon comments about CUL from July 4, 2022. RX 130-228.

C. Amazon's October 2022 Visit

On October 24, 2022, CUL hosted Amazon representatives at the TraPac terminal in Long Beach. RX 63, Liu Decl. ¶ 47. Seven Amazon executives/employees attended. *Id.* ¶ 48. At the event, attended by TraPac employees as well, CUL hung a gigantic banner on the side of one of its vessels that said: “CULINES and TRAPAC PROUDLY WELCOME AMAZON TEAM ABOARD”. RX 64, Liu Decl. ¶ 49. This banner could be seen far and wide, by not only the stevedores working on the dock, but by the cars driving by. *Id.* There were other vessels from other ship owners at the docks at TraPac that day. *Id.* In addition, cargo on CUL's vessel that day belonged to customers besides Amazon. *Id.* CUL took photos with the Amazon executives in front of the banner. *Id.* ¶ 50; RX 228-35. None of the Amazon representatives made any complaint about CUL using the Amazon name. RX 64, Liu Decl. ¶ 50.

On October 24, 2022, none of the Amazon representatives made any mention about the public, open, and obvious CUL WeChat post. RX 64, Liu Decl. ¶ 51. Two Amazon witnesses testified during their depositions that they started following CUL, on WeChat, when CUL and Amazon began working together in April 2022. RX 238, Liao Dep. 20:9–17; RX 243, Wu Dep. 16:20–25.

At his deposition, Mr. Baker testified that he was concerned by the banner, but he did not tell anyone at CUL about his concerns. RX 248-49, Baker Dep. 10:22–11:13. Mr. Connor Klosky of Amazon testified that the use of the banner was a violation of the MTA: “Based off my interpretation of [Section 7 of the MTA], it would have been a usage of the name, yes. Somebody can see it in public, yes.” RX 254-55, Klosky Dep. 85:23–86:12. After the event, a picture of the

banner with Amazon’s name on it, with Amazon representatives standing in front of it, was sent to Adam Baker and Becky Moore, both executives at Amazon. RX Liu Decl. ¶ 52. In *complete contradiction* to the truth, Ms. Moore responded: “LOVE THESE PHOTOS! Thanks for sharing – I was told you were a very great tour guide. We appreciate all you do for Amazon ☺”. *Id.*; PX-RX 230. Mr. Baker responded: “Thank you very much on behalf of my whole team for your hospitality . . . appreciate the banner” Liu Decl. ¶ 52, RX 228-35; RX 258-59. Given Amazon’s later-disclosed position that a single use of the Amazon name violated the MTA, these emails were lies.

D. Price Reduction and Termination for Convenience

To accommodate Amazon, on October 27, 2022, an Amendment to the Work Order was signed, lowering the rates for Amazon. RX 63, Liu Decl. ¶ 46; RX 260-63. On March 30, 2023, Amazon called CUL’s Mr. Liu to let him know that Amazon would be terminating CUL for convenience.⁵ RX 66, Liu Decl. ¶ 59. Amazon told Mr. Liu what a good partner CUL had been for Amazon. *Id.* Amazon also told Mr. Liu that it knew it owed liquidated damages to CUL, under the Work Order, and it would work to calculate that amount. *Id.* It told Mr. Liu that, per the Work Order, there would be a 90-day ramp down period. *Id.* The formal notice of termination for convenience was effective April 1, 2023. *Id.*; App. 77.

The parties met on April 26, 2023, and Amazon acknowledged that it would owe to CUL \$31.56 million in Early Termination Freight Payments. RX 67, Liu Decl. ¶ 65. Amazon knew that CUL was relying upon the Early Termination Freight Payments. In an internal exchange between Mr. Klosky and Mr. Cardadiero, Mr. Cardadiero writes about CUL: “They are definitely counting

⁵ Internal emails at Amazon show that Amazon had calculated that shifting away from CUL would save Amazon approximately \$64,000,000. It then calculated that Amazon would owe about \$43,000,000 in liquidated damages, with the result being a total savings for Amazon of more than \$20,000,000. RX 478-480.

the \$31mm.” Mr. Klosky responded: “haha they need that cash to stay a float [*sic*]”. Mr. Cardadeiro replies: “Yeah, I think that is a very true statement. We are going to have to press for a proposal . . .” RX 264-68.

On multiple occasions, Amazon requested that CUL consider lowering the \$31.56 million Early Termination Freight Payments. RX 68, Liu Decl. ¶ 66; RX 30, Chen Decl. ¶ 54. In one internal email, an Amazon executive stated: “let’s work like heck to negotiate it down.” RX 270. In a message from David Cardadiero to other executives at Amazon, he wrote: “It is unlikely that we will reach an agreement to a lower the penalty before months end. I would assume it will take at least 30 days from when we tender official termination notice to reach any form of concession. However, the moment we tender notice, we will be pressing for it.” RX 275. CUL did not grant the request because the Early Termination Freight Payments were an important part of CUL’s compensation for its investments in the Amazon relationship. RX 30-31, Chen Decl. ¶ 54.

E. Shanghai Meeting and Purported Termination for Cause

On May 9, 2023, Mr. David Cardadiero of Amazon visited CUL in Shanghai. RX 30, Chen Decl. ¶ 53; RX 281, Declaration of Yew Ping Teo ¶ 17. He told CUL that Amazon appreciated its partnership with CUL and that CUL had been an incredible partner. RX 30, Chen Decl. ¶ 53; RX 281, Teo Decl ¶ 17. He emphasized that the termination for convenience had nothing to do with performance or the way CUL conducted itself. RX 30, Chen Decl. ¶ 53; RX 281, Teo Decl ¶ 17. He also told CUL that Amazon was committed to being a good partner during the ramp down period and would exit the relationship gracefully. RX 30, Chen Decl. ¶ 53; RX 281, Teo Decl ¶ 17. Mr. Cardadiero’s statements were disingenuous, as Amazon was (at the same time) discussing a termination for cause based upon CUL’s usage of the Amazon name. RX 30, Chen Decl. ¶ 53; RX 281, Teo Decl ¶ 17.

To CUL’s complete surprise, Amazon sent CUL a notice of termination for cause on June 7, 2023. RX 31-32, Chen Decl.¶ 56; App. 84-86. Amazon claimed CUL had violated both the NDA and the MTA. RX 31-32, Chen Decl.¶ 56; App. 84-86. This was the first time that anyone at CUL had ever heard this allegation. RX 31-32, Chen Decl.¶ 56; RX 68, Liu Decl. ¶ 67; RX 282, Teo Decl. ¶ 20. This letter was clearly a pretextual move to allow Amazon to avoid its obligation to pay CUL the \$31.56 million Early Termination Freight Payments. RX 31-32, Chen Decl.¶ 56. The letter explicitly said that CUL had engaged in unauthorized use and disclosure of confidential information. *Id.* This was, and remains, false.⁶

F. Amazon Looked to Use the CUL WeChat as Mere “Leverage”

On May 10, 2023, almost a month after Amazon *allegedly* discovered the CUL WeChat posts mentioning Amazon, Amazon’s Becky Moore wrote to David Cardadiero: “Did you get any proposal on rates from them or was it left that our target wasn’t competitive? This feels fairly final which should shut the door on further negotiation . . .” RX 299. In response, Mr. Cardadiero wrote: **“We are going to have to press them. Also need to consider whether we are going to lean in to the disclosure point to create leverage.”** *Id.* (emphasis added.) David Cardadeiro also admitted that this “leverage” was being used to reduce the Early Termination Freight Payments:

Q. “if CULines had said we will reduce the potential \$32 million penalty, would the termination for cause letter still have gone out?”

A. “I think probably not.”

RX 297, Cardadeiro Dep. 126:6–14.

Amazon never sent a cease and desist letter to CUL, or asked CUL to work to claw back

⁶ David Cardadeiro, who was designated by Amazon as its corporate representative, and who sent/signed the Termination for Cause Letter, stated at his deposition in this case that CUL was terminated for cause because it disclosed the confidential relationship between CUL and Amazon, but then he admitted that the relationship was not confidential. RX 290-91, Cardadeiro Dep. 13:10–14:25 (emphasis added). When asked what CUL did to violate the NDA, Mr. Cardadiero unequivocally stated: “They disclosed their business relationship with Amazon.” RX 292, Cardadeiro Dep. 20:20–25.

the public mentions of its name. RX 29, Chen. Decl. ¶ 49.

G. Amazon Admits That it Would Have Continued Using CUL, If CUL Had Dropped its Rates

Multiple Amazon witnesses testified that if CUL had lowered its rates, Amazon would have continued using CUL. Mr. Klosky stated: “Amazon was satisfied with China United's service offering. The rates were uncompetitive. **And so if they would have dropped the rates down to the target that Amazon was asking, yes, they would likely continue the relationship because the service was there.**” RX 252-53, Klosky Dep. 83:24–84:4 (emphasis added.).

H. Amazon Pressured CUL to Default Under the Work Order so that Amazon Would Not Have to Pay Liquidated Damages

In an internal chat amongst Amazon employees on February 27, 2023, Michael Doblinger of Amazon wrote to Mr. Cardadiero, suggesting that after the notice of termination for convenience was sent, Amazon should “see if/how CUL execute the sailings for a few weeks . . . If CUL blanks us for a few weeks, **we will have an opportunity to term for cause** . . . We don’t have cause today. We reduce out allocation to only 100/week of FO. Then we see if they exit the market (which some of the team believes will happen) . . . and they blank us for several more weeks ***and then we will have cause.***” RX 304 (emphasis added).

III. LEGAL ARGUMENT

A. Summary Disposition Presents a High Bar and Is Disfavored

The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties’ motions for summary decision.” *Intermodal Motor Carriers Conference v. OCEMA*, Dkt. No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024). Under the Federal Rules, summary judgment is appropriate only “if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” Fed. R. Civ. P. 56(a).

The moving party bears the burden of showing that there is no genuine issue as to any material

fact, and absent that showing, the Commission denies the Motion even if the non-moving party offers no contrary evidence. *EuroUSA Shipping Inc., Tober Group, Inc. and Container Innovations, Inc – Possible Violations of Section 10 of the Shipping Act*, Dkt. No. 06-06, 2008 WL 7149852, at *5 (FMC Dec. 18, 2008) (citations omitted). The moving party’s showing must be viewed “through the prism of the substantive evidentiary burden.” *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 254 (1986). In ruling on a motion for summary judgment, the tribunal may not weigh the evidence or make credibility determinations. *Id.* at 249. The role is limited to determining whether a genuine dispute exists as to material facts requiring a trial. *Id.* The evidence of the non-moving party must be taken as true, all reasonable inferences must be drawn in its favor, and all doubts must be resolved in its favor. *Kobel v. Hapag-Lloyd AG, et. al.*, Dkt. No. 10-06, 2011 WL 7144010, at *2 (ALJ Dec. 21, 2011).

“Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial.” *Kawasaki Kisen Kaisha, Ltd. v. Port Authority of New York and New Jersey*, Dkt. No. 11-12, 2014 WL 5316333, at *2 (ALJ Feb. 5, 2014). Summary judgment is a “drastic provisional remedy.” *Gallo v. Prudential Residential Servs., Ltd. Pshp.*, 22 F.3d 1219, 1224 (2d. Cir. 1994).

B. Amazon Misstates the Legal Standard Under Section 41102(a)

1. Amazon Conveniently Ignores Congress’s Prohibition on Using “Any Other Unjust or Unfair Device or Means”

Section 41102(a) prohibits obtaining transportation at less than otherwise applicable rates or charges through “false billing, false classification, false weighing, false report of weight, false measurement, or **any other unjust or unfair device or means.**” 46 U.S.C. § 41102(a) (emphasis added). Amazon argues in its Motion that the term “any other unjust or unfair device or means” is limited to instances of “false billing, false classification, false weighing, false report of weight,

false measurement”, but the plain truth is that neither Congress nor the FMC has ever said this. Indeed, that is not what the plain language of the statute says. To the contrary, Congress’s inclusion of the catchall phrase “any other unjust device or means” reflected a concern that deceitful and dishonest shippers (like Amazon) would employ dishonest schemes beyond those identified in the statute to obtain transportation at less than tariff rates.⁷

A “stubborn but good faith refusal to pay a disputed rate or charge” is not itself an unjust or unfair device. *Capitol Transp., Inc. v. United States*, 612 F.2d 1312, 1323 (1st Cir. 1979). But a calculated, bad-faith effort to avoid charges, supported by specious or shifting justifications, may satisfy the statute. *Id.* at 1323–24. In *Capitol Transportation*, the First Circuit upheld the Commission’s finding of a violation where the respondent refused to pay demurrage, advanced claims it knew or should have known were false, dishonored the results of its own audit, failed to pay even undisputed amounts, and raised “ever-changing contentions” after the fact. *Id.* at 1323–1324. The court held that those circumstances established the requisite fraud or concealment and rendered the respondent’s conduct “tantamount to an unjust or unfair means of obtaining transportation by water at lower than applicable rates.” *Id.* at 1324.

Likewise, in *Unpaid Freight Charges*, interpreting former Section 16, the Commission explained that Section 16 was “aimed at protecting competing shippers and carriers from shippers

⁷ The legislative history of Section 41102(a) confirms that Congress deliberately drafted the catchall language to prevent shippers from evading the payment of lawful freight rates through unfair devices not specifically enumerated. During hearings on legislation amending Section 16 of the Shipping Act of 1916, the statutory predecessor to current Section 41102(a), Congress repeatedly focused on the problem of shippers obtaining transportation through new forms of subterfuge and concealment. For example, Congress heard testimony that “[r]esponsible shippers, and we believe without any question a large majority of all shippers, have no desire to violate the law or to obtain by subterfuge transportation at less than the proper rate,” but “there are, however, some shippers who will adopt any device to secure an advantage.” False Billing: Hearings Before the H. Comm. on Merchant Marine & Fisheries on S. 3467, 74th Cong. 20 (1936) (statement of W.H. Chandler).

who attempt to obtain (or succeed in obtaining) transportation at reduced rates through devices or representations involving fraud, falsehood, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (quoting *Pacific Far East Lines-Alleged Rebates*, 11 F.M.C. 357, 362 (1968), *aff’d*, 410 F.2d 257 (D.C. Cir. 1969)). Likewise, in *Refrigerated Container Carriers Pty. Limited, Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, interpreting another predecessor provision from which current Section 41102(a) derives, the presiding officer explained that Section 10(a)(1), like its predecessor, “is **designed to protect honest shippers and carriers from dishonest, unscrupulous shippers who employ devices to give the shippers advantages over their honest shipper-competitors.**” FMC Dkt. No. 98-20, Initial Decision at 15 (emphasis added). That is precisely the scenario before the Presiding Officer now. There is simply no indication that Section 41102(a) was meant to be implemented in a narrow fashion, and the above-quoted sources confirm that a broad interpretation was the intention of Congress and has been the commonly used cannon. *See Hohenberg Bros. Co. v. Fed. Mar. Comm’n*, 316 F.2d 381, 385 (D.C. Cir. 1963) (holding that while the statute “covers the situation where the carrier is deceived or defrauded, it is not so limited”).

Amazon’s Motion ignores the throughline of these authorities and treats the listed examples in Section 41102(a) as narrow prerequisites to liability. Motion at 9-14. But *Unpaid Freight Charges* makes clear that the regulation’s limited examples are *not* exhaustive. “[T]he Commission and the courts have uniformly held that the act forbidden must be similar to those specifically proscribed in order to be an unfair device or means.” *Unpaid Freight Charges*, 26 S.R.R. at 737-38 (quoting *Pacific Far East Lines*, 11 F.M.C. at 364) (emphasis added). “**In other words, the unjust or unfair device or means must partake of some element of falsification, deception, fraud, or concealment, in order to satisfy the legal requirements of these subsections.**” *Id.*

(emphasis added). Such is the governing standard here: some element of falsification, deception, fraud, or concealment must exist. And this is the standard Amazon asks the Presiding Officer to ignore.

As discussed herein, the record contains substantial evidence from which the Presiding Officer, as factfinder, could (and should) conclude that Amazon employed precisely the type of deceptive and concealed device addressed by Section 41102(a). Because Amazon cannot cite to binding precedent that 41102(a) is as limited as it professes, the Motion should be quickly denied.

2. Amazon's Attempt to Recast this Proceeding as a Mere Contract Dispute Fails

CUL asks the Presiding Officer to find that Amazon employed an unfair or unjust device to obtain transportation at less than otherwise applicable rates in violation of the Shipping Act. Amazon's attempt to recast this case as a mere contract dispute misses the point. The Shipping Act expressly authorizes complaints alleging violations of the Act, and the Commission has exclusive jurisdiction to adjudicate such claims. See 46 U.S.C. § 41301(a); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 2006 WL 2007808, at *11 (FMC May 10, 2006); *Cargo One, Inc. v. COSCO Container Lines Co. Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

Although the same underlying conduct may also give rise to a breach of contract claim in another forum, the Commission's jurisdiction over alleged Shipping Act violations remains unchanged. The Commission has repeatedly held that it must determine whether the Shipping Act has been violated even where the underlying facts may also support contractual remedies. *See MCS Indus., Inc. v. Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024) (holding that the FMC retains jurisdiction over Shipping Act claims even when related proceedings are pending elsewhere); *20230930-DK-BUTTERFLY-I, Inc. v. Evergreen Line Joint*

Service Agreement, Dkt. No. 24-12, 2024 WL 3317830, at *6-9 (ALJ June 26, 2024) (“Shipping Act claims are distinct from breach of contract claims” and remain within the Commission’s jurisdiction even where the allegations could also support a contract claim). As the Presiding Officer has previously recognized, “[t]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 21-05, 2022 WL 458569, at *3 (ALJ Feb. 22, 2022). Accordingly, the fact that CUL’s allegations may also support a breach of contract claim does not transform this case into a contract dispute or undermine the viability of CUL’s § 41102(a) claim.

C. Amazon Utilized Unjust and Unfair Devices

1. Amazon Approved CUL’s Use of the Amazon Name in October 2022, But Later Claimed the Same Conduct Justified Termination for Cause

In response to the October 24, 2022 usage of the Amazon name, Amazon executives Adam Baker and Becky Moore *both* responded with admiration and approval. Amazon thus gave CUL every indication that its usage of the Amazon name was proper. Amazon’s Motion treats CUL’s use of the Amazon name as conduct so serious that it justified immediate termination for cause. Indeed, Amazon’s Notice of Termination for Cause reflects Amazon’s deceitful position that a single use of the Amazon name by CUL was sufficient to relieve Amazon of freight-payment obligations. App. 83-86. But it was dishonest and fraudulent for Amazon to take such a position, because Amazon had told CUL the exact opposite in October 2022. Amazon’s conduct of blessing the usage of its name, then later claiming that usage of its name was wrongful, is an unjust and unfair device employed by Amazon. Amazon explicitly lulled CUL into a sense of security, only to pull the rug out from underneath CUL. **The Shipping Act does not allow a shipper to lie to a carrier, lull that carrier into reliance, continue to benefit from the commercial agreement,**

and then invoke the carrier's conduct as a device to avoid applicable freight charges.

2. Amazon Concealed Its Concerns About CUL's Usage of the Amazon Name, and Turned a Blind Eye

The Motion repeatedly treats CUL's use of the Amazon name as an obvious and disqualifying violation of the MTA and NDA, yet the record is clear that Amazon never communicated that view to CUL while the parties were performing under the Service Contract. RX 57, Liu Decl. ¶ 21; RX 22, Chen Decl. ¶ 26. The record shows that Amazon internally recognized the alleged issues with CUL's use of its name long before June 2023 but chose to withhold them from CUL. For example, Adam Baker testified that he found the banner-use of the Amazon name "concerning." RX 248-249, Baker Dep. 10:22-11:13. Nevertheless, he hid those concerns from CUL. *Id.*, 11:9-13 ("Q. Okay. So just to – so you shared [your concerns] with your team, but you didn't speak explicitly with anybody at China United Lines regarding your concerns? A. I spoke to my team.") (emphasis added). But Mr. Baker's conduct was not limited to silence (as Amazon alleges). As discussed above, he *thanked* CUL, stating that Amazon "*appreciate[d]*" this explicit use of the Amazon name, and Amazon *continued performing* under the Service Contract (while CUL's rates remained acceptable to Amazon). RX 64, Liu Decl. ¶ 52; RX 258-59.

Amazon internally treated CUL's use of the Amazon name as problematic, communicated approval to CUL, and withheld the significance it later attached to CUL's conduct until Amazon wanted to avoid its freight-related payment obligations. *Cf. Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 24-17, Order Affirming Dismissal of Counterclaim at 3, 9 (FMC July 30, 2025) (distinguishing an "open disagreement" over charges from factual allegations of fraud or concealment sufficient to support a Section 41102(a) claim.)

Amazon also turned a blind eye to CUL's usage of the Amazon name, thus giving CUL every indication that its actions were appropriate. Namely, Amazon witnesses testified that they

followed CUL's WeChat account from the very start of the parties' relationship, RX 238, Liao Dep. 20:9-17; RX 243, Wu Dep. 16:20-25, and that CUL's posts, which referenced Amazon, were easy to locate. RX 244, Wu Dep. 18:20-19:1. Despite open and obvious name usage, Amazon said nothing and kept silent until it terminated the Service Contract for cause.

3. For Amazon, CUL's Name Usage Provided Amazon with "Leverage" and Amazon Worked to Induce CUL to Materially Breach

Upon terminating for convenience, Amazon emphasized that CUL had been a good partner to Amazon and that Amazon would pay the Early Termination Freight Payments. RX 66-67 Liu Decl. ¶ 59. Behind the scenes, however, Amazon was searching for ways to avoid making those very same freight payments, and worked to induce CUL to commit material breach.⁸ As discussed above, in early 2023, Michael Doblinger of Amazon wrote to Mr. Cardadeiro, suggesting that Amazon issue a notice of termination for convenience first, *then* **"see if/how CUL execute the sailings for a few weeks . . . If CUL blanks us for a few weeks, we will have an opportunity to term for cause . . ."** RX 304 (emphasis added). Though Amazon ultimately settled on a different variant of cause, there is no dispute that Amazon followed the stratagem set out above: issuing a notice of termination for convenience, and then once it identified what it thought could be cause, attempting to supersede the earlier termination notice, and avoid making the Early Termination Freight Payments altogether. Perhaps because CUL did not blank sail in the way Amazon hoped, or perhaps because Amazon could identify no other conduct which could conceivably constitute cause, Amazon, unbelievably, decided that CUL had violated the confidentiality provisions of the MTA and NDA by using its name without permission, and on that basis, would not receive the

⁸ Amazon had no intention of honoring the ramp down plan it asked CUL to implement. Even after Amazon claims it discovered that CUL had violated section 7 of the MTA by using Amazon's name without permission, Amazon asked CUL to commit to continuing to ship Amazon cargo up to the end of June 2023.

Early Termination Freight Payments it bargained for (and which Amazon promised to provide).⁹

The Commission has found an unjust or unfair device where a respondent engaged in a “series of deceptive acts” to conceal material facts and avoid ocean-freight charges. *Muhammad Rana v. Michelle Franklin d/b/a The Right Move, Inc.*, FMC Dkt. No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at *12 (FMC May 25, 2022). Amazon argues that CUL's claim “bears no resemblance” to *Rana* because *Rana* involved concealment, false assurances, and other deceptive conduct used to avoid ocean-freight charges. Motion at 10–11. But the developed record now presents evidence of those same legally relevant features: Amazon (not CUL) disclosed the parties' relationship first, publicly and online (thereby removing it from the realm of “Confidential Information” protected by the Service Contract”).¹⁰ When CUL republished this information, Amazon kept quiet. And when confronted face-to-face with CUL's use of the Amazon name, Amazon responded with affirmative praise. All the while, Amazon withheld from CUL that it found the same conduct “concerning” and would later treat that same conduct as grounds to extinguish Amazon's obligation to make the Early Termination Freight Payments.¹¹

Amazon set out to identify a mechanism for avoiding charges it had acknowledged were due. Under *Capitol Transportation*, a party crosses the line from nonpayment to an unjust or unfair

⁹ Amazon employees expressly contemplated utilizing CUL's name-use as mere leverage to obtain relief from the Early Termination Freight Payments. RX 265. But when CUL refused to grant Amazon relief from the early termination damages Amazon itself invoked, Amazon then weaponized the same name-use to terminate for cause.

¹⁰ Amazon also disclosed the parties' relationship to a third-party auditor, reinforcing CUL's understanding that the relationship was no longer confidential following Amazon's July 4, 2022 WeChat post. *See* APP 72-75.

¹¹ As the Presiding Officer previously recognized, *Rana* also holds that nonpayment alone does not establish an unjust or unfair device. June 6 Order at 11–12. CUL relies on the evidence of concealment, contradictory assurances, and Amazon's use of the disclosure issue as leverage surrounding its ultimate refusal to pay, rather than on nonpayment standing alone, to establish the unjust or unfair device in this proceeding.

device when its refusal to pay rests not on an honest contractual disagreement, but on a “calculated effort in bad faith to avoid the payment... legitimately owing” which “allow[s] shippers and consignees to accomplish what Section [41104(a)] was intended to prevent.” 612 F.2d at 1323–24. That is precisely what occurred here..

D. Material Issues of Fact Remain to be Resolved

Amazon has not demonstrated the absence of any genuine dispute of material fact. *EuroUSA Shipping, Inc., Tober Group, Inc. & Container Innovations, Inc.*, Docket No. 06-06, 2008 LEXIS FMC 12 at *12 (FMC Dec. 18, 2008). The record presents multiple factual disputes that go to the heart of CUL’s Section 41102(a) claim, including, but not limited to Amazon’s knowledge, concealment, intent, and selective invocation of name-use, and CUL’s reliance.

First, the parties dispute when Amazon learned of CUL’s use of the Amazon name. Amazon *claims* that it first discovered CUL’s WeChat posts on April 18, 2023. Yet Amazon employees testified that they followed CUL’s WeChat account from the outset of the parties’ relationship, and Amazon’s witness testified that the posts were easily discoverable. RX 238, Liao Dep. 20:9-17; RX 243-44, Wu Dep. 16:20-25, 18:20-19:1. Amazon executives also encountered CUL’s conspicuous use of the Amazon name at the TraPac terminal in October 2022. RX 63-64, Liu Decl. ¶¶ 47–52. A factfinder should conclude that Amazon knew of CUL’s name use *months* before its claimed April 18 discovery, and so Amazon acted deceitfully in taking no action on this information until it was in Amazon’s best interest.

Second, the parties dispute whether Amazon concealed its concerns over CUL’s use of the Amazon name. Mr. Baker testified that he found the TraPac banner “concerning,” but chose not to communicate that to CUL. RX 248-249, Baker Dep. 10:22-11:13. Amazon instead celebrated CUL’s use of its name. RX 64, Liu Decl. ¶ 52; RX 229-235; RX 258-59. Even after Amazon’s claimed April 18 discovery, Mr. Cardadeiro told CUL that it had been an “incredible partner,” and

stated that the termination for convenience had nothing to do with CUL's performance. RX 30, Chen Decl. ¶ 53; RX 281-82, Teo Decl. ¶ 17. Whether Amazon obtained the benefit of CUL's continued performance through payment assurances it later disavowed presents a material factual dispute inappropriate for summary disposition.

Third, the parties dispute whether Amazon used CUL's name-use as leverage to pressure CUL into reducing the Early Termination Freight Payments. Amazon repeatedly acknowledged that those payments were owed and reiterated that position at the May 9 Shanghai meeting. RX 66-67, 68, Liu Decl. ¶¶ 59, 65; RX 306-09; RX 481-485. Internally, however, Amazon discussed looking for "an opportunity to term for cause" and whether to "lean in to the disclosure point to create leverage" against CUL. RX 304. A factfinder should conclude that Amazon formulated a hidden pressure strategy and then executed it when CUL refused to reduce the Early Termination Freight Payments. If CUL's name use genuinely constituted a material breach requiring termination, CUL's agreement to lower its rates or reduce Amazon's payment obligation would not have cured it. Amazon's willingness to disregard CUL's allegedly violative conduct in exchange for economic concessions shows that the disclosure issue was not the reason for the termination. It was the instrument Amazon selected to obtain relief from charges that otherwise applied.

Fourth, the parties dispute whether CUL relied on Amazon's representations that it would terminate for convenience and make the Early Termination Freight Payments. CUL kept its service available and reliable to Amazon through the ramp down period, RX 31, Chen Decl. ¶ 55, and Amazon knew of that reliance. CUL used the Amazon name, in reliance on Amazon's blessing. Mr. Cardadeiro wrote internally that CUL was "definitely counting the \$31mm"; Mr. Klosky responded that CUL "need[ed] that cash to stay afloat." RX 265. CUL's reliance is a key element

of the fraud that occurred here.

Fifth, the record shows that Amazon invokes the name-use issue only when it deems carriers' rates unfavorable. Here, Amazon thanked CUL for using its name during the same period in which CUL agreed, at Amazon's request, to reduce its freight rates. RX 63, 64, Liu Decl. ¶¶ 46, 52; RX 260-263; RX 229-35; RX 258-59. Amazon invoked the name-use issue only after declaring CUL's rates were "no longer competitive". RX 65-66 Liu Decl. ¶¶ 55, 58; RX 310-11.

E. CUL Pled Its Entitlement to Re-Rating Under Its Sole Remaining Claim and the Law Supports CUL's Requested Remedy

1. CUL Pled Entitlement to Re-Rating in Count I, Its "Sole Remaining Claim"

CUL's remaining claim is Count I. Order Partially Granting Motion to Dismiss, App. 9–12 (June 6, 2025) (the "June 6 Order"). Paragraphs 38 through 48 of the Verified Amended Complaint specifically discuss the allegations underpinning Count I. Verified Am. Compl., Dkt. No. 11, ¶¶ 38-48. In Paragraph 47 of the Verified Amended Complaint, CUL specifically stated and pled its entitlement to re-rating under Count I. *Id.* ¶ 47. Oddly, Amazon argues in its Motion that because Count V was dismissed by the Presiding Officer (which alleged a separate, independent violation of the Shipping Act, and requested re-rating as the remedy for that separate statutory violation), that CUL's re-rating theory was therefore, entirely, dismissed. Motion at 16. This is, of course, wrong, because CUL never staked its re-rating theory on Count V *alone*.

Amazon urges that re-rating was "ruled inapplicable to this proceeding," but Amazon misrepresents the Presiding Officer's June 6 Order, and Amazon distorts the basis upon which CUL alleges re-rating. CUL has always alleged its entitlement to re-rating as the remedy for Amazon's violation of 46 U.S.C. 41102(a), in Count I. Furthermore, as discussed in Section III.D herein, there is at least a material dispute of fact regarding whether Amazon can say that its termination of the CUL Service Contract, after Amazon explicitly blessed the usage of the Amazon

name by CUL, was “anticipated” by CUL.

2. CUL Could Not Have Anticipated that Amazon Would Declare that Name Usage (Which Was Blessed in October 2022) Was Retroactively Deemed Improper

46 C.F.R. § 530.10 (the re-rating regulation) provides that cargo “previously carried” under a service contract “shall be re-rated according to the otherwise applicable tariff provisions” in the event of a “cancellation.” 46 C.F.R. § 530.10(e). Cancellation, in turn, is defined as “an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.” *Id.* § 530.10(a) (emphasis added). There is no dispute that Amazon did not tender all cargo under the Service Contract (because it invoked a Notice of Termination for Cause).

There is a dispute of material fact regarding whether Amazon’s termination was “unanticipated”, with CUL asserting that it could never have anticipated that Amazon would bless usage of its name in 2022 but then deem that same usage inappropriate (and grounds for cancellation) in 2023. **First**, in October 2022, Amazon expressly and unequivocally blessed CUL’s usage of the Amazon name. Conveniently, this is the same time period in which CUL assented to an amendment of the Service Contract, and lowered, at Amazon’s request, its freight rates for transpacific container carriage. RX 260-63. In other words, as long as CUL made rates palatable for Amazon, Amazon took no issue with the usage of its name.

Second, CUL reasonably understood § 7.2 of the parties’ MTA to cover confidential—*i.e.* nonpublic—information, since that section fell under the heading “Confidentiality,” directly below the incorporation of the parties’ NDA (which, again, only barred the use by CUL of “Confidential Information”). Attach A to Dkt. No. 13, MTA § 7.2. CUL could never have expected that Amazon would interpret § 7.2 to mean that a single use of the Amazon name, after Amazon publicly

disclosed the parties' relationship, would somehow violate the MTA and NDA's confidentiality provisions and bar the payment of agreed-upon Early Termination Freight Payments. Indeed, no one at Amazon ever disclosed to CUL that Amazon would take this position or understood the MTA in this manner. RX 22, Chen Decl. ¶ 26. Amazon never informed CUL, in 2022, that CUL's very public mentions of Amazon on Chinese social media violated the Service Contract. *Id.* The testimony establishes that Amazon was following CUL's social media, and so Amazon was on notice of CUL's usage of the Amazon name. *See* RX 238, Liao Dep. 20:9–17; RX 243, Wu Dep. 16:20–25. Moreover, CUL could never have anticipated that Amazon would conceal such a position—hiding it (and contradicting it) when Amazon deemed CUL's container rates “acceptable,” and invoking it months later, when Amazon no longer favored CUL's rates, and sought to avoid the freight payment for premature termination.

Third, all testimony taken in depositions in this case pointed to CUL's utter shock when Amazon terminated the Service Contract for cause. Each of CUL's witnesses testified that they were stunned and astounded by Amazon's termination for cause. RX 68 Liu Decl. ¶ 67; RX 31-32, Chen, ¶ 56; RX 283, Teo Decl. ¶ 22.

In sum, there is sufficient evidence in the record to demonstrate that a trial is needed in this matter to settle the issue of the “unanticipated” nature of Amazon's termination, such that a summary ruling would be inappropriate. By any stretch of its definition, Amazon's conduct was “unanticipated” by the Service Contract: it defied CUL's reasonable interpretation of the confidentiality provisions and was belied by Amazon's own actions towards CUL. No reasonable carrier could have expected that Amazon would act in such a hypocritical and deceitful manner, and no provision in the Service Contract provides a proper remedy for the conduct Amazon engaged in here. Amazon's conduct thus constitutes a “cancellation” within the meaning of 46

C.F.R. 530.10, which, by its terms, entitles CUL to re-rating.

3. CUL's Re-Rating Calculations Are Proper and Legally Sound; Amazon's Expert Did Not Even Attempt to Run a Competing Re-Rating Calculation

CUL presented two re-rating calculations, both grounded in CUL's published tariffs. Under the first, David G. St. Amand used the most recently expired tariff rate to fill in the "gaps" between CUL's tariffs (the time periods following the expiration of one of CUL's tariffs and before the effective date of CUL's next tariff). This resulted in re-rated freight charges of \$293,747,229 and a net amount owed to CUL of **\$157,413,949**. APP 160., Expert Report of David G. St. Amand ("St. Amand Rep."), 14. Under the second, Mr. St Amand filled the "gaps" using CUL's *unexpired* July 1, 2021 Cargo NOS weight/measure tariff. This second method resulted in re-rated freight charges of \$520,745,872 and a net amount owed to CUL of **\$384,412,592**. *Id.* APP 159-60, 164. St. Amand Rep. at 13-14 & App. I. Amazon has not shown that Mr. St. Amand misapplied the tariffs, used the wrong cargo, made a mathematical error, or violated § 530.10.

Amazon attacks Mr. St Amand's second calculation by repeatedly characterizing the July 2021 Cargo NOS weight/measure tariff as a "placeholder" rate. Motion at 17-19. Amazon also asserts that Mr. Kardian "did not opine on whether application of the placeholder weight measure rule was appropriate." Motion at 18. Amazon is wrong. Mr. Kardian was asked "whether, for the purpose of re-rating the cargo that CUL carried for Amazon, the publicly-filed tariff by CUL preceding any 'gap' in tariff should be used for the 'gap', or whether the originally filed tariff by CUL should be used to fill the apparent 'gap'." RX 318, Expert Report of Gary Kardian ("Kardian Rep."), at 27. He answered: **"The answer here is straightforward: The tariff to be applied to any 'gap' in time should be the original tariff, which contained no expiration date."** *Id.* (emphasis added) Mr. Kardian explained that "there really are no 'gaps' because the originally-filed U.S. tariffs by CUL contain no expiration dates," and that those non-expired tariffs continue

to apply whenever a current tariff has expired and another has not yet replaced it. *Id.*

Mr. Kardian likewise testified that when a tariff expires, and no other applicable rate exists, the carrier defaults to the Cargo NOS rate (unexpired). RX 321-322, Kardian Dep. 26:18–21, 27:1–4. He further stated that the relevant gap periods “should be covered” using the “unexpired NOS rate,” namely the “\$500 per weight/measure ton.”RX 322, Kardian Dep. 27:15–20. And, contrary to Amazon’s contention, Mr. Kardian testified that even if the tariff were characterized as a placeholder, that fact “would not bar re-rating.” RX 330 Kardian Dep. 214:15–19 (emphasis added). He further explained that a “\$500 weight or measure” placeholder rate is “very common in a lot of tariffs” and “not unusual.” RX 323 Kardian Dep. 38:12–20. Mr. Kardian expressly opined that the original unexpired tariff governs the alleged “gap” periods and that the July 2021 Cargo NOS weight/measure tariff remains available for re-rating. His testimony directly supports Mr. St. Amand’s methodology.

Amazon repeatedly cites Mr. McCown’s idea that a re-rating using different assumptions would produce a negative number. Motion at 17. But Mr. McCown admitted that he never performed such a calculation. RX 335 McCown Dep. 26:17–21. What Amazon offers is merely Mr. McCown’s *belief* about what the result might have been had he conducted an analysis (which he admittedly never performed).¹²

Nor did Mr. McCown identify any authority making CUL’s July 2021 Cargo NOS weight/measure tariff unavailable for re-rating. Although he criticized the outcome produced by

¹² Mr. McCown testified that, if tasked with conducting what he considered a “credible re-rating,” he would derive an average relationship from selected periods he *believed* reflected “real tariff” rates and then apply that relationship to other periods where he believed no “real tariff” existed. RX 334-36, 40, McCown Dep. 25:20–26:16; 27:6–19; 40:3–18. Yet Mr. McCown never performed that exercise, calculated a resulting reparations figure, or applied the methodology to the cargo at issue. Instead, he merely testified that he “believe[d]” the result would be negative. RX 335, McCown Dep. 26:17–21

the tariff, he admitted that he was unaware of the FMC ever telling CUL there was any issue with its \$500 weight/measure tariff. RX 338, McCown Dep. 29:12–17. Mr. McCown may dislike the result generated by CUL’s re-rating calculation, but he supplied no legal basis for excluding the unexpired July 2021 tariff from the analysis. When asked whether the re-rating regulation provides for re-rating, he answered: “No, I’m not saying that” it does not. RX 334, McCown Dep. 25:2–5. He admitted that § 530.10 remains in force, has not been repealed, and should not be repealed. RX 337, McCown Dep. at 28:15–24. Amazon identifies no FMC decision, regulation, or tariff rule holding that a tariff becomes unavailable for re-rating because the resulting recovery is large.

4. Granting Re-Rating Here Is in Line with Commission Precedent

The Commission has expressly recognized that when a Shipping Act violation disrupts contracted rates, reparations may be measured by the difference between the contracted rates and the applicable tariff rate. In *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, the Commission held that “[w]here a duty imposed by the Shipping Act is absolute and a competitive relationship is not necessary to prove undue or unreasonable preference or prejudice, the proper measure of damages is the difference between the rate charged and the rate that would have been charged but for the violation of the Shipping Act.” *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Docket No. 94-01, 29 S.R.R. 356, 357 (F.M.C. Aug. 15, 2001) (emphasis added). *Ceres* is significant because the Commission there rejected the notion that Shipping Act remedies must be confined to traditional consequential damages and instead approved a remedy tied directly to the rate that lawfully should have governed the transaction.

The Commission grounded its holding in *Ceres* in *Valley Evaporating Co. v. Grace Line, Inc.*, which it described as establishing that when a statutory duty concerning rate treatment is violated, “the measure of damages simply becomes the difference between the rate charged and collected and the rate that would otherwise have applied.” *Id.* at 362 (discussing *Valley*

Evaporating Co. v. Grace Line, Inc., 14 F.M.C. 16, 25 (1970) (emphasis added). The principle underlying the decision applies here: where the Shipping Act requires one rate treatment and a party receives another, the Commission may determine the rate that properly should have applied and award the difference. That is precisely the analytical step that re-rating performs.

These cases are instructive because they demonstrate that the Commission has never viewed rate restoration as foreign to its remedial authority. The Commission has recognized that Shipping Act violations may be remedied by reconstructing the lawful rate environment that should have existed absent the violation and awarding the difference between the contracted rate and the otherwise applicable rate. Re-rating pursuant to 46 C.F.R. 530.10 here advances the same objective. Instead of creating a new category of damages, re-rating simply identifies and applies the transportation charge that should have governed the cargo in the first instance, absent the cancellation. Indeed, here, the testimony at trial will be that CUL would never have offered the Service Contract rates to Amazon, had Amazon disclosed its true intention to use a single use of its name as a pretextual means to avoid paying the Early Termination Freight Payments under the Service Contract (which were key conditions precedent of CUL offering the rates that it did).

Amazon may argue that *Ceres* and *Valley Evaporating* involved lower rates that should have been made available, whereas re-rating here would result in application of a higher tariff rate. But that distinction goes to the factual direction of the adjustment, not the principle the cases establish. The core lesson of *Ceres* and *Valley Evaporating* is that the Commission may look beyond the rate actually charged and instead determine the rate that legally should have applied under the Shipping Act. Once that principle is accepted, there is no reason why it operates only when the lawful rate is lower than the charged rate. The same reasoning supports relief when a party, through “unfair or unjust devices,” obtains transportation under a rate that was not lawfully

available, should instead be held to the higher tariff rate that properly governed.

F. CUL Has Pled and Presented Into Evidence, In the Alternative, Damages Stemming from its Actual Injury

CUL's Verified Amended Complaint seeks "reparations for the unlawful conduct described above, along with interest and Complainant's attorney's fees and costs as described in 46 U.S.C. § 41305." Verified Am. Compl., Dkt. No. 11, Prayer for Relief, at 22. That provision provides "payment of reparations to the complainant for actual injury caused by a violation . . ." 46 U.S.C. § 41305. Count I specifically states that CUL "sustained actual injury when Respondents' failed to pay . . . [their] full obligations in accordance with the Service Contract." Verified Am. Compl., Dkt No. 11, ¶ 47.

As actual injury, the parties have stipulated under the Service Contract that the best approximation of CUL's actual injury is ascertained by applying a formula for every container not tendered during a 90-day ramp down period (following notice of cancellation), as well as for every container not tendered between the end of the ramp down period and the end of the contract. Attach. C to Dkt No. 13, Sched. 3 § 5.1(b).

The undisputed facts show that Amazon stopped tendering containers towards its MQC in June 2023, and tendered none thereafter, through the Service Contract's April 2024 expiration date. *See* App. 83-86; RX 476, Declaration of Yew Ping Teo in Support of Complainant's Opposition to Respondents' Motion for Summary Disposition ("Teo Opp'n Decl.") ¶ 7. The Work Order contemplates this scenario, and provides that CUL's actual damages for Amazon's failure are necessarily approximated by Tender Shortfall Liquidated Damages: "Tender Shortfall Liquidated Damages are, without further proof of the same, a reasonable estimate of the anticipated or actual harm that might arise from Amazon's failure to meet or exceed the Minimum Quantity Commitment." Attach. C to Dkt No. 13, Sched. 3 § 5.1(e). Amazon cannot attempt, now, to weasel

out of its own documented commitment.

Amazon argues that CUL failed to show “out-of-pocket loss, unpaid freight, spoiled cargo, additional operational expense, or any other concrete injury flowing from the conduct it alleges.” Motion at 16. Amazon’s theory is preposterous because CUL’s actual damages are fully encompassed by Tender Shortfall Liquidated Damages. The Work Order declares that Tender Shortfall Liquidate Damages are Amazon’s “sole liability and entire obligation and [CUL]’s exclusive remedy for Amazon’s failure to meet or exceed the Minimum Quantity Commitment.” Attach. C to Dkt No. 13, Sched. 3 § 5.1(d) (emphasis added). Amazon’s own counsel admitted that the Early Termination Freight Payments were a fair approximation of CUL’s actual damages. RX 342, New York Pretrial Conference Tr. 12:16-18.

If the Presiding Officer determines that re-rating is not available, then CUL is entitled to damages as measured by the Tender Shortfall Liquidated Damages provision in the amount of \$2,000 per FEU for each container under 80% of the MQC, until the end of the Service Contract term. This amount totals \$47,616,000.¹³

G. Tender Shortfall Damages Are Freight Related Charges

Amazon’s shift from convenience to cause allowed Amazon to retain the benefit of CUL’s Service Contract rates while avoiding the freight-related obligations tied to Amazon’s MQC and premature exit from the Work Order. Amazon argues that CUL “complains that Amazon avoided liquidated damages, not that Amazon avoided the rates or charges applicable to any cargo.” Motion

¹³ The parties agreed to a 31,200-FEU Minimum Quantity Commitment for the May 2023 through April 2024 contract year. Attach. C to Dkt No. 13, Sched. 3 § 5(1)(b); RX 476, Teo Opp’n Decl. ¶ 9. Eighty percent of that MQC is 24,960 FEUs. RX 476, Teo Opp’n Decl. ¶ 10. Amazon tendered only 1,152 FEUs during the May and June 2023 ramp-down period, resulting in a shortfall of 23,808 FEUs. *Id.* ¶¶ 11-12. Multiplying that shortfall by the contractual liquidated damages amount of \$2,000 per FEU yields Tender Shortfall Liquidated Damages of \$47,616,000. *Id.* ¶¶ 13-14.

at 14. *Hudson Shipping* rejects that artificial separation of service contract rates from MQC-related payment obligations. Although *Hudson* involved a different device: allowing other NVOCCs to access its service contracts, the ALJ emphasized that Hudson benefitted because it “avoided paying liquidated damages for failing to meet the MQC in each service contract.” *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines—Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Dkt. No. 02-06, Initial Decision at 8 (July 10, 2003), review declined (FMC Feb. 6, 2004) (emphasis added). The ALJ further found that Hudson’s improper conduct, like Amazon’s here, “enabled Hudson to avoid paying penalties for otherwise failing to meet [its] MQC.” *Id.* at 11. Thus *Hudson* treated avoiding MQC-related liquidated-damages obligations as part of the economic benefit obtained through conduct that violated Section 10(a)(1). *Id.* at 8, 11.

Amazon sought the same economic result through a different device. It obtained CUL’s below-market service-contract rates, terminated before satisfying the contract’s requirements, and then invoked a pretextual ground for cause to avoid the payments that accounted for the resulting shortfall. As in *Hudson Shipping*, the device allowed the shipper to retain the economic benefit of the Service Contract without bearing the charges attached to its failure to fulfill the corresponding commitment.

IV. CONCLUSION

Amazon’s Motion fails to carry its burden of demonstrating the absence of any genuine dispute of material fact, and is predicated on an erroneous law; It must be denied in its entirety.

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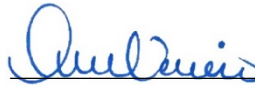
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of August 2026, a true and correct copy of the foregoing **OPPOSITION TO MOTION FOR SUMMARY DISPOSITION** was served via electronic mail on:

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